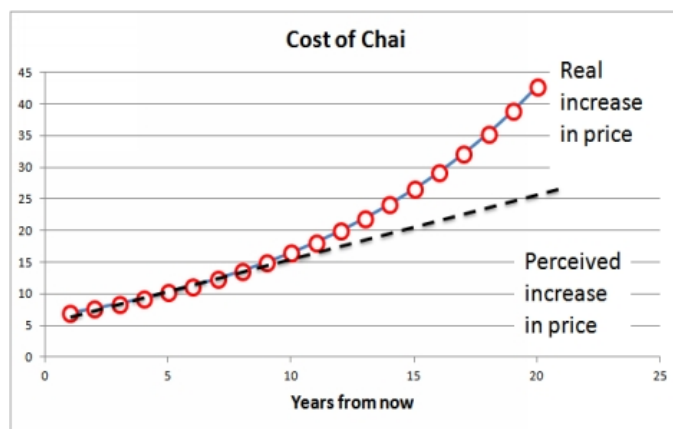


complain about rising prices, we never stop, take stock by how much they have risen and how much they can rise in the future.

Like how the French make frog legs: slowly heat the water container until the frog's legs go numb, we don't realize until it's too late. If the chef had rapidly increased temperatures, the frog would jump out. Instead, as the temperature gradually increases, the frog settles down in the lukewarm water only to endure death at the end. While most of us are capable of sensing danger that's immediate, but the gradual lukewarm increase of inflation goes by unnoticed.

Inflation is like the mystery in the dark corners of our under-nails. We know something's in there and whatever it holds, is best left uncatered. When chai sells the next year at ₹ 8 instead of ₹ 7, we do take notice. But our mind tends to sum up these small changes and assume that the price would increase linearly. The mind makes grave errors in mental calculation by thinking that in 20 years, it would be about ₹25-27 for a cuppa (one rupee more for each year), and not close to 50 bucks as shown by real math.



One other reason we fail to take inflation seriously is in fact our salaries. Our salaries increase gradually every year, wherein we believe that it's enough to keep up with the rise in prices. This increase in salary gives us the false impression that we can afford the similar '*small increase in the price of chai*'.

The trouble is: our jobs in the private sector are not guaranteed and no one in their right mind would expect to see salaries increase by 10% year after year!